

Discussion of *Political Incentives in Local Tax Setting: Evidence from the German Property Tax Reform*

Zong Huang

How do local governments behave?

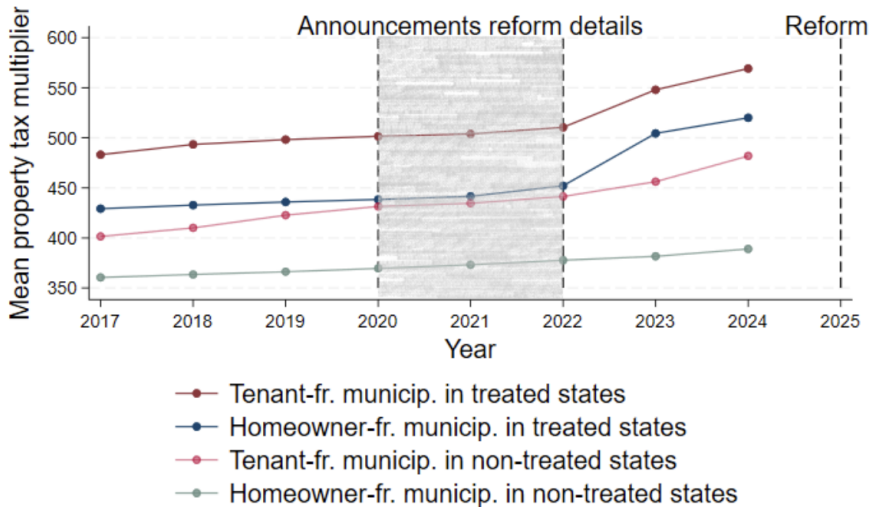


1. **Leviathan:** local governments maximize revenue
 - Rent-seeking disciplined by household mobility
2. **Optimistic:** local governments maximize social welfare
3. **Tiebout with politics:** local governments prioritize majority voters (this paper)

Tiebout (1956) with politics

- **Standard Tiebout model:** households sorting into local governments leads to market-like efficiency
- Political dynamics introduce potential inefficiencies
 1. Local governments redistribute to majority voters (this paper)
 2. Local governments ignore fiscal externalities
- Implications for whether tax setting should be centralized
 - Should German municipalities or states be in charge of setting tax multipliers?
- Understanding local politics is core to many important questions in urban economics
 - E.g., NIMBYism and housing supply

Interesting setting: tax reform as natural experiment



To what extent are differential changes in tax multipliers mechanical?

property tax = standard rateable value $\times$ basic tax rate $\times$ municipal tax multiplier (1)

- Suppose state previously had uniform rate of \$10, now has rate of \$8 for owner-occupied, \$12 for renter-occupied
 1. Municipality with 50% homeowners does not need to change multiplier to be revenue neutral
 2. Municipality with 100% homeowners needs to increase multiplier by 12.5% to be revenue neutral
- Simulate mechanical changes to guarantee revenue neutrality for each municipality
- How statistically different are the paper's results?

Simple difference-in-difference

- Treatment vs. control (T)

Table 1: Simple DiD

	Tax multiplier b/se	
	Owner-friendly municipalities ($P = 1$)	Tenant-friendly municipalities ($P = 0$)
Treat: $T \cdot \text{post}$	31.162*** (1.603)	1.859 (5.052)
Post	-25.439*** (1.085)	-16.206*** (4.415)
Municipality FEs	Yes	Yes
Year FEs	Yes	Yes
Adj. R^2	0.9121	0.8915
Within R^2	0.0676	0.0056
Observations	26848	3304
Cluster (municipalities)	3356	413

Triple difference

- Treatment vs. control, owner- vs. tenant-friendly parties (P)

Table 2: Triple DiD - Main Results

	Tax multiplier b/se	
Treat: $T \cdot P \cdot \text{post}$	28.365*** (4.606)	15.620*** (4.604)
P · post	-22.260*** (3.172)	-13.130*** (3.109)
T · post	2.596 (4.449)	
Post	-4.556 (3.179)	
Municipality FEs	Yes	Yes
Year FEs	Yes	No
State-by-year FEs	No	Yes
Adj. R ²	0.9121	0.9293
Within R ²	0.0610	0.0038
Observations	30152	30152
Cluster (municipalities)	3769	3769

Quadruple difference

- Treatment vs. control, owner vs. tenant-friendly parties, high vs. low homeowner share (E)

Table 4: The role of the municipal homeownership share

	Tax multiplier b/se		
	Baseline DDD	DDD using E instead of P	DDDD
Treat: T · P · E · post			-15.054* (8.635)
T · P · post	15.620*** (4.604)		22.186*** (6.014)
P · post	-13.130*** (3.109)		-16.238*** (3.900)
P · E · post			6.995 (5.702)
T · E · post		-0.899 (2.638)	11.893 (8.273)
E · post		-2.937** (1.230)	-8.877 (5.606)
Municipality FEs	Yes	Yes	Yes
State-by-year FEs	Yes	Yes	Yes
Adj. R ²	0.9293	0.9291	0.9294
Within R ²	0.0038	0.0009	0.0051
Observations	30152	30152	30152
Cluster (municipalities)	3769	3769	3769

Conceptual questions

1. Why do we see no effect for homeownership share in the quadruple difference?
 - Should we mechanically expect to see something given revenue neutrality?
2. What is the simple diff-in-diff telling us relative to the triple and quadruple difference?
3. Are there any electoral dynamics that may introduce heterogeneity in tax response?
 - E.g., competitiveness of elections
4. What are the distributional impacts of the reform on owners vs. renters?
 - Back-of-the-envelope calculation on fiscal incidence

Robustness checks

1. Validate measure of owner vs. tenant-friendly party
 - Currently using coarse approach (e..g, CDU/CSU is owner-friendly party)
 - Paper alludes to using AI-based classification for small and local parties
 - Possible to generalize classification for all parties by analyzing text of local platforms?
2. Dynamic version of diff-in-diff results
3. More years of data once reform is fully implemented